Corporate ESG Engagement and Earnings Management: A Moral Licensing Perspective

ABSTRACT

When facing tensions between shareholders and other stakeholders, firms are ~~Scholars~~ typically assumed ~~that firms~~to prioritize profits over the planet and people and engage in ~~when managing the tensions between shareholders and other stakeholders. And, they have examined various factors affecting firms'~~ greenwashing ~~behaviors, which are intended~~ to shape stakeholders' perceptions. ~~In~~ By contrast, ~~we shift our focus to~~scholars have rarely examined ~~-~~the ~~opposite~~ reverse dynamic: firms engaging in ~~artificial~~ spurious ~~behaviors~~ practices to appease shareholders while substantively addressing the needs of other stakeholders. Drawing on moral licensing theory, we argue that by undertaking substantive ESG efforts firms are more likely to obtain moral licenses to~~by engaging in substantive ESG efforts firms are more likely to morally self-license to~~ ~~manage~~ manipulate reported earnings. ~~However, we contend this license is constrained~~Such moral licensing behavior, however, is significantly attenuated in culpable industries, where ~~. We find that industry culpability significantly attenuates this positive relationship; firms in stigmatized industries interpret their~~ ESG engagement ~~as a necessary compliance rather than sufficient progress that yields~~generates ~~tradable~~ limited moral credit~~s~~. Using a sample of U.S. public companies from 2000 to 2022, we find empirical evidence supporting our predictions.

批注 [JH1]: Let's discuss the practical implications of this.

Keywords:

Moral licensing; ESG engagement; earnings management; symbolic management

INTRODUCTION

The last decade has witnessed~~seen~~ unprecedented growth in ESG (environmental, social and governance) investment and a global surge in ~~worldwide spread of~~ attention~~s~~ ~~on~~ to corporate social responsibilities (CSR). Notably, ~~the total~~ assets under management by investors who follow the UN Principals for Responsible Investment (PRI) ~~grew~~ rose from USD 5.5 trillion ~~dollars~~ in 2011 to USD 128.4 trillion ~~dollars~~ in 2023[1]. However, the seemingly promising development of 'stakeholder capitalism' may be illusory, as firms are frequently criticized for engaging in 'greenwashing' (i.e., portraying themselves as~~appearing~~ more environmentally or socially responsible than they ~~truly~~ actually are) without making substantial investments to address sustainability issues (Lyon & Maxwell, 2011). ~~At the core of the~~Central to explanations for corporate greenwashing ~~behaviors~~ is the recognition that firms must simultaneously manage growing tensions ~~handle the increased tensions~~ between shareholders and other stakeholders ~~simultaneously~~ (Crilly, Zollo, & Hansen, 2012; Wang, Tong, Takeuchi, & George, 2016). Greenwashing is therefore conceptualized ~~thus viewed~~ as ~~an act~~a form of cosmetic communication that enables ~~by~~ firms to ~~please~~ appease stakeholders without compromising shareholders' interests. However, given that firms must constantly make fundamental trade-offs between shareholder and stakeholder interests, we question whether this ~~We, however, question if the~~ dynamic can ~~work the other way around~~operate in reverse~~ when firms are making the essential tradeoff between shareholder and stakeholder interests~~. Specifically, *do firms resort to artificial ~~methods~~ practices such as earnings management to appease shareholders while substantially addressing the needs of other stakeholders*?

We believe this question ~~warrants~~ merits attention for three key reasons. First, ~~when discussing~~in examining how firms manage ~~the~~ tensions between shareholders and other stakeholders, researchers have predominantly assumed that firms would prioritize profit over the planet and people, often resorting to symbolic or manipulative measures to address stakeholders' (rather than shareholders') expectations (Crilly et al., 2012; Kim & Lyon, 2015; Marquis, Toffel, & Zhou, 2016). The ~~research~~ literature ~~has been~~remains

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[1] https://www.unpri.org/about-us/about-the-pri/annual-report#storytext-end

largely silent about the equally ~~possible~~ plausible scenario ~~of~~ in which firms~~'~~ us~~ing~~ artificial measures to appease shareholders while committing resources to address the needs of other stakeholders~~' needs~~. Investigating whether earnings management is ~~driven~~ motivated by firms' efforts to meet other stakeholders' expectations unveils a two-way (shareholder ~~or~~ and stakeholder) rather than a one-way (stakeholder only) dynamic in the manipulative behaviors firms use to manage ~~in firms' manipulative behaviors in managing the~~ shareholder-stakeholder tensions. Second, although some scholars have begun to explore how firms ~~use~~ deploy different strategies across stakeholder groups with conflicting ~~needs~~demands, ~~yet~~ they ~~often~~ tend to overlook an apparent instrument that firms commonly use to manage ~~usually deploy to cope with~~ pressures from shareholders—earnings management. For instance, Wang et al. (~~Wang, Jia, & Zhang,~~ 2021) find that firms are likely to maintain 'strategic silence' about their charitable donations when they fear investor dissatisfaction. ~~However, the~~The authors, however, did not extend their discussion to other conventional ~~strategies~~ tactics for "managing" ~~relations with~~ shareholders relations, such as earnings management. Third, it remains unclear whether the ~~increased~~ growing emphasis on ESG ~~could lead~~gives rise to an unintended consequence: the of triggering ~~firm~~ corporate earnings management. As firms frequently struggle to identify win-win opportunities to simultaneously meet the demands of shareholders and other stakeholder ~~needs~~ (Crane, Palazzo, Spence, & Matten, 2014), it is possible that they resort to symbolic or manipulative measures to appease shareholders after addressing the substantive requirements or expectations ~~from~~ of other stakeholders. To the best of our ~~best~~ knowledge, no research has examined this possibility, and ~~. Our study~~our study ~~aims~~ seeks to fill this gap.

~~In light of~~Drawing on moral licensing theory (Effron & Monin, 2010; Merritt, Effron, & Monin, 2010), we propose that firms are more likely to engage in ~~manipulative behaviors such as~~ earnings management to appease shareholders when they have accumulated moral credits through ESG investments. Central to our argument is the idea that firms facing constant tension between shareholders and other stakeholders may feel more morally justified in conducting earnings management ~~when they have made~~after expending "extra" efforts to advance social or environmental interests ~~at the expense of shareholder value~~. ~~Crucially~~Furthermore, we argue that this moral licensing mechanism does not operate in a vacuum; its

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efficacy hinges on how managers frame their initial prosocial actions~~it depends on how managers frame their initial good deeds~~. We introduce industry culpability as a ~~critical~~ moderating variable that shapes this framing process~~moderator that alters this framing~~. ~~Following~~ According to Merritt et al. (2010), a good deed can be construed in two ways: either as evidence of "sufficient progress" toward a moral goal (which liberates one to relax moral standards) or as evidence of a commitment to a moral identity (which demands continued consistency). We posit that ~~for~~ firms in non-culpable industries are more likely to frame~~,~~ substantive ESG in the former way and feel entitled with moral credits, as such engagement ~~is often viewed as going above and beyond~~constitutes surplus progress towards moral goals (Bansal & Roth, 2000)~~—a surplus of progress that generates moral credits~~. ~~However~~In contrast, for firms in culpable industries (e.g., tobacco, oil), which operate under a legitimacy deficit, ESG investment is typically ~~not extra credit; it is~~ a survival strategy rather than a moral credit-earning endeavor (cites). These ~~managers~~ firms are compelled to view their engagement not as ~~a completed~~an extra ~~task~~undertaking, but as a binding commitment to repairing their organizational legitimacy (Saenz, 2019). When managers frame ~~their~~ such actions as a commitment to ~~a new~~an identity rather than the accumulation of credits, the psychological mechanism of moral licensing is deactivated. Thus, we predict that industry culpability attenuates the positive ~~link~~ relationship between ESG engagement and earnings management. Using data from U.S. public companies from 2000 to 2022, we find strong empirical evidence ~~supporting~~ for our predictions.

Our study makes two key contributions to the literature. First, it challenges the ~~pre~~dominant assumption in the CSR literature that firms primarily employ symbolic or manipulative measures to address stakeholder expectations while prioritizing shareholder interests. Instead, it investigates the possibility that firms might use earnings management to appease shareholders while committing resources to address the ~~stakeholder~~ needs of other stakeholders. This ~~approach~~ inquiry reveals a more nuanced, bidirectional dynamic in how firms manage ~~the~~ tensions between shareholders and other stakeholders. Second, we introduce moral licensing theory from psychology ~~into~~ to earnings management research. This theoretical lens provides a ~~new~~ novel perspective for understanding why firms ~~might~~ engage in earnings management, suggesting that past ~~ethical~~ prosocial actions can psychologically justify less ethical financial practices.

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BACKGROUND AND THEORY

Corporate Responses to Tensions Between Shareholder and Other Stakeholders

The pursuit of multiple goals (e.g., economic, environmental, and social) requires firms to navigate the inherent tensions between various stakeholders with competing interests. These tensions arise from the diverse expectations of stakeholder groups such as employees, suppliers, customers, investor, and the government, each of which may prioritize different outcomes (Freeman & Reed, 1983; Wang et al., 2016). For instance, while shareholders may demand short-term financial returns, other stakeholders may push for long-term environmental sustainability or community welfare (Ortiz-de-Mandojana & Bansal, 2016). The ongoing debate on corporate goals, ranging from shareholder primacy (Friedman, 1970) to broader stakeholder approaches (Freeman & Reed, 1983; Jones, 1995; McWilliams & Siegel, 2001), underscores the challenge of balancing these demands. Mounting calls for corporate accountability in areas like environmental protection and social equity further complicate this balancing act (Aguilera, Rupp, Williams, & Ganapathi, 2007). Meanwhile, recent development in sustainability institutions and regulatory frameworks has further intensified these tensions maturation (Smets, Morris, & Greenwood, 2012). For example, the introduction of standardized sustainability reporting systems, such as the Sustainability Accounting Standards Board (SASB) Standards[2], and enhanced regulatory oversight, such as the SEC's greenhouse gas (GHG) disclosure requirements[3], have exposed firms to greater scrutiny. This increased scrutiny may trigger more conflicts among stakeholders by raising their awareness of firms' conduct. As firms navigate these evolving demands, the divergence of interests is expected to become more pronounced, compelling organizations to make increasingly complex trade-offs in stakeholder management (Van der Byl & Slawinski, 2015).

[2] https://sasb.ifrs.org/standards/
[3] https://www.sec.gov/newsroom/press-releases/2024-31

Early literature on corporate social responsibility (CSR) suggests finding win-win solutions as primary means of addressing different demands from stakeholders (Jones, 1995; McWilliams & Siegel, 2001; Porter & Kramer, 2006). For example, sustainability-minded products (e.g., pesticide-free fruit) were advocated as a way of aligning firm profitability with stakeholder benefits, thereby mitigating tensions (Hart & Milstein, 2003). However, "many corporate decisions related to social and environmental problems, however creative the decision-maker may be, do not present themselves as potential win-wins, but rather will manifest themselves in terms of dilemmas" (Crane et al., 2014). Instead of transcending tradeoffs, firms are often found to maneuver between shareholder interests and stakeholder interests.

To manage the tensions between shareholders and other stakeholders, firms have widely adopted impression management (Bolino, 1999; Durand, Hawn, & Ioannou, 2019; Westphal & Zajac, 1998; Zott & Huy, 2007). They often seek to align their communications with stakeholder expectations, even when their actions may not fully match these messages (Bothello, Ioannou, Porumb, & Zengin-Karaibrahimoglu, 2023; Marquis et al., 2016). In practice, impression management focuses on expressing values, making commitments, and showing intentions with or without substantial efforts in corporate practices (Meyer & Rowan, 1977; Westphal & Zajac, 1998). It has been particularly evident in the context of corporate ESG initiatives. For example, companies may highlight their commitment to reducing environmental impact while continuing unsustainable practices behind the scenes (De Freitas Netto, Sobral, Ribeiro, & Soares, 2020; Delmas & Burbano, 2011), a phenomenon commonly referred to as 'greenwashing' (see Lyon & Montgomery [2015] for a review). In such cases, impression management serves as a tool for managing stakeholder expectations rather than fulfilling them substantively.

The degree and direction of impression management can vary considerably, reflecting firms' strategic intent and stakeholder management priorities. Typically, impression management in the domain of ESG takes three forms: exaggeration (i.e., greenwashing), strategic silence, and undue modesty (i.e., brownwashing) (Kim & Lyon, 2015; Lyon & Montgomery, 2015; Wang et al., 2021). Exaggeration involves positive signaling, where firms actively disseminate information designed to project a favorable image. This includes practices such as signaling ESG achievements (Turban & Greening, 1997), highlighting selective

aspects (Marquis & Qian, 2014; Nardi, 2022), or emphasizing symbolic actions over substantive change (Bromley & Powell, 2012; Lyon & Maxwell, 2011; Ramus & Montiel, 2005). Conversely, firms can choose to understate their performance for the purpose of meeting the needs of some stakeholders to mitigate potential concerns from other stakeholders. For instance, Kim & Lyon (2015) demonstrate that when the investor pressure becomes the most salient in a deregulated environment, firms are reluctant to disclose costly social and environmental practices and are likely to engage in "brownwashing." Both greenwashing and brownwashing can serve to alleviate pressure from the "definitive stakeholders" (Mitchell, Agle, & Wood, 1997), leveraging false narratives to gain legitimacy or deflect criticism.

Between overstatement and understatement, firms may adopt a strategy of silence, characterized by deliberate non-disclosure of information or minimal engagement on contentious issues (Morrison & Milliken, 2000). For instance, Wang et al. (2021) document that firms strategically remain silent to manage the tension between corporate philanthropy and the interests of investors and employees. Unlike the other two forms, strategic silence avoids deception and operates through omission (Asselineau, Grolleau, & Mzoughi, 2024). By choosing not to communicate about specific practices, firms aim to sidestep scrutiny from stakeholders or maintain ambiguity about their commitments (Marquis et al., 2016). Silence can be particularly effective in contexts where stakeholder expectations are fragmented or where disclosure might highlight trade-offs detrimental to the firm's reputation (Wang et al., 2021).

Notably, prior studies discussing impression management as response to shareholder-stakeholder tension have predominantly focused their attention on social and environmental performance rather than on financial performance. This focus is rooted in the traditional profit-maximization or 'shareholder primacy' view (Friedman, 1970), which sees stakeholder engagement as instrumental or superficial practices designed to enhance legitimacy or reduce reputation risks without fundamentally altering profit-driven priorities (Jones, 1995; McWilliams & Siegel, 2001). Consequently, little attention has been given to scenarios in which firms choose to falsely or strategically 'communicate' or disclose their financial performance in response to the tension between shareholders and other stakeholders. Given the long history of financial

manipulations in the corporate world (Dechow, Sloan, & Sweeney, 1995; Larson, Sloan, & Zha Giedt, 2018), this alternative dynamic, however, warrants deeper investigation.

Tension Balancing and Moral Licensing

When exploring the dynamics of how firms disclose their financial performance as a response to the tension between shareholders and other stakeholders, we identify the moral licensing perspective as particularly relevant. Moral licensing is a phenomenon in which past good deeds create a psychological justification that allows individuals to engage in "behaviors that are immoral, unethical, or otherwise problematic, behaviors that they would otherwise avoid for fear of feeling or appearing immoral" (Merritt et al., 2010). In brief, past good behavior liberates people from feeling, perceiving, or appearing immoral when they are about to engage in upcoming less ethical actions. This phenomenon has been identified in a variety of domains, such as political incorrectness (Crocker, Major, & Steele, 1998; Monin & Miller, 2001), prosocial behavior (Batson, Thompson, Seuferling, Whitney, & Strongman, 1999; Tanner & Carlson, 2009), and consumer choice (Khan & Dhar, 2006). For example, research has shown that participants who were first asked to imagine doing volunteer work chose to consume luxury items more frequently than those who had not (Khan & Dhar, 2006).

Merritt et al. (2010) discussed two versions of moral licensing. The first is the moral credits model, which can be illustrated by the metaphor of a moral bank account (Hollander, 1958). Like an account, individuals accumulate moral "credits" through good deeds, which they can then "spend" to justify or license subsequent immoral actions. In this model, when individuals feel licensed, they acknowledge that their upcoming actions are wrong, but they believe their previous behavior has "earned" them the right to deviate somewhat from the righteous path while still maintaining a positive "balance" in their moral bank account.

The second version of licensing is the moral credentials model, in which past behavior acts as a lens for interpreting current actions. Here, previous moral conduct serves to reframe and invalidate morally questionable behavior, as "good deeds change the meaning of subsequent behavior" (Merritt et al., 2010). For example, consider a manager known for pursuing gender equality who decides not to promote a female

employee. In this case, the manager's history acts as a moral credential, affecting the attribution of the decision. When faced with two explanations—gender discrimination versus the employee's qualifications, the manager may frame the decision as merit based as their past behavior invalidates the discriminatory interpretation. This allows the manager to confidently rely on their established record to clarify morally ambiguous actions as legitimate.

Since firms' ESG engagements are often viewed as pro-social behaviors towards stakeholders, they can earn firms moral credits or moral credentials. These credits or credentials may lead firms to rationalize ethically questionable behaviors towards shareholders, such as earnings management, particularly as they continue to face significant tension between the interests of shareholders and stakeholders.

Hypothesis

Substantive ESG engagement and earnings management. Substantive ESG engagement refers to real, authentic actions that directly address ESG issues (e.g., reducing emissions, improving labor practices, or enhancing corporate governance standards). In contrast, symbolic ESG refers to the practice of engaging in ESG initiatives that prioritize appearance over substance, focusing more on projecting an image of responsibility than on achieving tangible outcomes. Unlike symbolic gestures, substantive efforts require meaningful resource allocation (Li, Tang, Liang, & Wang, 2024) and long-term strategic planning (Ortiz-de-Mandojana & Bansal, 2016).

Given its substantive nature, there are two inherent consequences of such ESG engagement. The first consequence is that it increases costs for firms (Sprinkle & Maines, 2010). Substantive ESG efforts often require significant investments in resources, time, and organizational attention (Rangan, Chase, & Karim, 2015). For example, transitioning to renewable energy sources or revamping supply chains to meet sustainability standards involves substantial upfront costs and potential disruptions to existing operations (Shin, Ellinger, Nolan, DeCoster, & Lane, 2018). Similarly, initiatives such as implementing fair labor practices (Faleye & Trahan, 2011), enhancing workplace diversity (Li & Nagar, 2013), or reducing emissions (Gillingham & Stock, 2018; Matsumura, Prakash, & Vera-Muñoz, 2014) often necessitate higher operational expenses. While these costs can be justified by long-term benefits, they may strain firm

profitability in the short term (Awaysheh, Heron, Perry, & Wilson, 2020; Flammer & Kacperczyk, 2016), thereby creating tension between shareholder demands for financial return and the firm's commitment to stakeholder-focused goals.

The second consequence is that substantive ESG engagement increases moral credits or credentials. For instance, when a firm reduces its carbon footprint or improves labor conditions, it accrues moral credits or credentials by adhering to widely accepted moral standards (Ji, Huang, & Li, 2021; Van Beurden & Gössling, 2008). Once these moral credits or credentials are earned, they become a "resource" that firms can draw upon to justify morally ambiguous or dubious actions in the future (Merritt et al., 2010). Hence, the firm's prior ESG engagement creates a perception, both internally and externally, that it operates with a moral surplus, reducing the perceived ethical burden of subsequent decisions.

When pressure for profits from shareholders is rising, firms engaging in substantive ESG efforts may turn to earnings management as a means of balancing competing demands. Earnings management refers to a firm's discretionary manipulation of financial reporting to influence perceived performance (Dechow et al., 1995; Dechow, Sloan, & Sweeney, 1996; Larson et al., 2018). While often operating within legal and accounting boundaries, such behavior can blur ethical lines, since it distorts the true economic reality of the firm's operations (Becher, Campbell II, & Frye, 2005; Bergstresser & Philippon, 2006). Earnings management can take the form of real activities manipulation (Christensen, Huffman, Lewis-Western, & Valentine, 2023; Roychowdhury, 2006), which involves altering investment or operational decisions, or accounting-based manipulation, such as adjusting accruals or deferring expenses (Dechow, Ge, & Schrand, 2010; Dechow, Hutton, Kim, & Sloan, 2012; Larson et al., 2018). Although sometimes justified as a tool to stabilize financial performance or signal resilience, it is frequently criticized for undermining transparency and eroding investor trust (Dechow & You, 2020; Hazarika, Karpoff, & Nahata, 2012). This makes earnings management a morally dubious practice, as it often involves negative intentions by firms.

In conjunction with the preceding argument, significant costs associated with substantive ESG initiatives can negatively impact short-term profitability, thereby creating potential conflicts with shareholders who prioritize financial returns. As a result, firms may engage in strategic manipulation of

financial reports to project a stable or favorable financial outlook. The ethical unease surrounding earnings management may be alleviated due to the moral licensing effect. By undertaking substantive ESG efforts, firms accrue moral credits or credentials through their ethical, pro-social actions, which can help them rationalize earnings management to appease shareholders. These moral credits or credentials act as a buffer, reducing the perceived ethical burden of financial manipulations and allowing firms to navigate the dual pressures from stakeholder and shareholder expectation. Thus, substantive ESG engagement, though aligned with the demands of stakeholders, can prompt earnings management as a pragmatic response to increased pressure from shareholders. In formal terms, we propose:

Hypothesis 1. There is a positive relationship between a firm's substantive ESG efforts and its degree of discretional earnings management.

The moderating role of industrial culpability. We further contend that the moral licensing effect is contingent on how firm cognitively construe their ESG activities. As established by Merritt et al. (2010), the psychological consequences of a good deed depend on whether the actor frames the behavior as evidence of "sufficient progress" or as evidence of "commitment" to a cause.

When an act is framed as progress (e.g., "I have met my standard for good behavior"), it signals that a goal has been achieved, leaving the individual feeling entitled to rest on their laurels. This accumulation of "moral credits" is the engine of the licensing effect. Conversely, when an act is framed as commitment (e.g., "I am the kind of person who cares about this"), it highlights a specific identity. This framing invokes a desire for consistency, thereby suppressing the impulse to act unethically (Merritt et al., 2010; Mullen & Monin, 2016).

We argue that industry culpability fundamentally shifts the manager's framing of ESG engagement from progress to commitment. For firms in non-culpable industries, substantive ESG engagements are often discretionary and aspirational (Bénabou & Tirole, 2010; Bansal & Roth, 2020). Managers in these firms are likely to view substantive environmental and social engagement as exceeding standard expectations—a form of moral surplus. This aligns with the progress frame: they have addressed the needs of stakeholders, creating a sense of completed moral achievement that licenses subsequent deviation in financial reporting.

In contrast, firms in culpable industries (e.g., tobacco, fossil fuels) operate with a "legitimacy deficit" and face inherent organizational stigma (Hong & Kacperczyk, 2009). For these firms, ESG engagement is not a “profits sacrificing” (Bénabou & Tirole, 2010); it is a remedial necessity to secure their license to operate. Managers in culpable industries cannot afford to view their ESG efforts as "sufficient progress" because their moral debt to society is viewed as perpetual (Ferns et al., 2022). Instead, they are forced to construe these efforts as a long-term commitment to demonstrating that they are complying with scrutiny and aligning with societal values (Durand et al., 2020).

When ESG is framed as a necessary and ongoing commitment to identity repair, it does not generate the tradable moral credits required for licensing. As Merritt et al. (2010, p. 347) note, "framing the initial behavior as evidence of commitment... makes one more likely to behave in line with that self-image." Therefore, the commitment framing induced by the existential pressures of industry culpability blocks the licensing mechanism that would otherwise occur.

Hypothesis 2. The positive relationship between a firm's substantive ESG efforts and its degree of discretional earnings management is weakened when the firm operates in a culpable industry.

METHODS

Sample

Our initial sample comprises publicly traded U.S. firms covered by the Refinitiv (formerly Thomson Reuters ASSET4) database from 2000 to 2022. While prior research has frequently utilized the KLD (MSCI) dataset (Flammer et al, 2019), we employ Refinitiv Asset4 for reasons specific to capture the comparability of substantive ESG engagements between firms. First, KLD relies on a binary strength or concern count, which captures the existence of policies or practices rather than overall engagements. In contrast, Refinitiv aggregates over 600 objective data points derived from public disclosures (e.g., specific emission reduction expenditures, green supply chain investments) into continuous scores[4]. This granularity is critical for our

[4] https://www.lseg.com/content/dam/data-analytics/en_us/documents/methodology/lseg-esg-scores-methodology

study because moral licensing is driven by the substantive cost and resource commitment of the good deed (Merritt et al., 2010), which is better proxied by an comprehensive measure (Hawn & Ioannou, 2016).

We merge the ESG data with financial data for all US publicly traded firms from Compustat and executive characteristics data from ExecuComp. Following standard practice in earnings management literature (Yu, 2008; Larson et al., 2018), we exclude firms in the financial (SIC codes 6000–6999) and regulated utility (SIC codes 4900–4999) sectors, as their accounting accrual processes differ significantly from those of industrial firms. We also require firms to have sufficient data to calculate discretionary accruals and all necessary control variables. To mitigate the influence of outliers, we winsorize all continuous financial variables at the 1st and 99th percentiles. The final unbalanced panel consists of 10,472 firm-year observations spanning from 2000 to 2022.

Dependent Variable

Our dependent variable, *discretionary accruals*, is a well-established proxy of earnings management in accounting literature (Dechow et al., 1995; Larson et al., 2018). We closely follow a cross-sectional version of the modified Jones model (Jones, 1991; Dechow et al., 1995; Bhojraj et al., 2009) to estimate our accrual-based earnings management. First, we calculate total accruals as the difference between earnings and cash flows from operations. Secondly, we estimate coefficients from a cross-section regression of total accruals on lagged firm size, the change in firm sales, and gross property plant and equipment scaled by total firm assets. Thirdly, using the coefficients, we compute nondiscretionary accruals for each industry and year pair. Lastly, discretionary accruals are measured as the difference between total accruals and calculated nondiscretionary accruals[5].

By decomposing total accruals into nondiscretionary accruals and discretionary accruals, this proxy allows us to identify managerial discretion in reported earnings (Ni, 2020). Some studies used absolute value of total accruals to capture the volatility in accruals (Francis, LaFond, Olsson, & Schipper, 2005). However,

5 See estimation details in Appendix A.

we choose real value rather than absolute value of total accruals when estimating the model to distinguish the direction of earnings management, which is consistent with our theoretical rationale.

Independent Variable

To capture the extent of a firm's substantive ESG engagement, we utilize data from the Refinitiv (formerly Thomson Reuters ASSET4) database. Consistent with prior research focusing on the stakeholder-oriented dimensions of corporate responsibility (Hawn & Ioannou, 2016), we focus on the environmental (E) and social (S) pillars, while excluding the Governance (G) pillar (DesJardine & Durand, 2020; Flammer, 2015a). This exclusion is based on the rationale that E and S pillars more directly reflect a firm's discretionary, substantive efforts to address broader stakeholder needs.

We employ three specific measures: the environmental pillar score, the social pillar score, and the aggregate ESG score. Refinitiv converts these data points into percentile rankings benchmarked against industry peers, resulting in scores ranging from 0 to 100. A higher score indicates superior relative performance and implies a greater allocation of organizational resources to substantive ESG initiatives, such as emission reductions, workforce safety, and community engagement, rather than mere symbolic disclosures.

Moderators

Industry culpability is measured following the method by (Fu et al., 2020; Hong & Kacperczyk, 2009). We pinpointed companies within the tobacco, arms, natural resources, and alcohol sectors using SIC codes. Then, we identified firms that received a rating of 1 for categories such as "tobacco," "firearms," "military," "alcohol," or "gambling" in the KLD database. By merging the outcomes, we assigned a value of 1 to the industry culpability variable if an observation satisfied either condition, or 0 otherwise.

These industries are subject to intense scrutiny from regulators, activists, and the public. In our theoretical framework, this variable serves as a proxy for the external constraints that may inhibit the activation of moral licensing.

Control Variables

We include several control variables that could affect earnings management. First, at the firm level, we controlled *firm size*, measured as the natural log of firm assets, for large firms are less likely to conduct discretionary earnings management under higher level of scrutiny (Sloan, 1996). Firms with good financial performance may prefer to avoid the risk of 'cooking the book' compared to the performances of their industrial peers (Zhang & Gimeno, 2010, 2016). Therefore, we included *industry-adjusted return on assets (ROA)*, which is the difference between firm ROA and industry average ROA, to account for firm financial performance (Wang et al, 2021). Firms with high debt have limited resources to satisfy other stakeholders. It may increase tensions if such a high-debt firm engages in carbon reduction substantively. Thus, we included *debt ratio*, measured as the ratio of summated long-term debt and debt in current liabilities to book assets. Firms with high levels of cash may engage in income increasing earnings management to offset the low earnings associated with low-growth opportunities (Chung, Firth, & Kim, 2005). So, we include the *cash holding ratio* measured as the ratio of cash and cash equivalents to total assets. Firms with high valuation levels may encounter elevated expectations from investors, which could lead them to engage in strategic management of reported earnings (Chaney & Lewis, 1995). We use Tobin's Q to measure the valuation level of firms measured as the ratio of the market value of firm assets to their replacement value.

Second, we controlled a few governance characteristics. We controlled institutional ownership calculated as the percentage of the firm's outstanding shares owned by institutional investors. Because institutional investors represent a relatively effective monitoring role, firms with high institutional ownership may be less likely to manage their earnings (Lel, 2019). We controlled two board level variables, board size and board independence, given their influential role in monitoring and oversight in terms of reporting earnings (Klein, 2002; Laux & Laux, 2009).

Third, we controlled CEO level variables to account for the importance of CEO in managing pressures from investors. We included CEO duality (Krause, Semadeni, & Cannella, 2014), CEO gender (Harris, Karl, & Lawrence, 2019), and CEO age (Ali & Zhang, 2015) as they are all documented to have multiple mechanisms affecting the decision of managing earnings reporting.

Estimation

We employ ordinary least squares (OLS) regressions to estimate our model (Abadie, Athey, Imbens, & Wooldridge, 2022). All regressions included firm fixed effects to control for time-invariant unobservable firm heterogeneity and year fixed effects to account for macroeconomic shocks. Standard errors are clustered at the firm level to correct for serial correlation. Following existing research (Larson et al., 2018), we included one-year lagged[6] dependent variable to account for the autocorrelation of discretionary accruals (Bellemare, Masaki, & Pepinsky, 2017).

RESULTS

Table 1 provides descriptive statistics and correlations for the variables in our model. We also calculated variance inflation factors and found that all values were less than 6, indicating that there is no evidence that multicollinearity is a concern for our analysis (O'brien, 2007).

Insert Table 1 here

Table 2 reports the results of the OLS regression analyses examining the relationship between substantive ESG engagement and earnings management (Hypothesis 1), as well as the moderating role of industry culpability (Hypothesis 2). All models include firm fixed effects to control for time-invariant unobservable heterogeneity and year fixed effects to account for macroeconomic shocks.

We begin by analyzing the aggregate E&S composite score to establish a baseline. In Model 1, which introduces the composite ESG score alongside controls, the coefficient is positive but statistically insignificant ($\beta = 0.003$, $p > 0.10$). This initial null result is noteworthy. It suggests that when environmental and social initiatives are bundled together, the moral licensing mechanism may be diluted. Since our theory posits that moral licensing is triggered specifically by substantive, resource-intensive good deeds that create

[6] To clarify, a lagged variable represents values from the previous time period (t-1).

a genuine sense of moral credit, the aggregate score—which includes instrumental social policies—may mask the true underlying relationship.

To test Hypothesis 1 and disentangle this masking effect, we decompose the aggregate measure and focus on the environmental pillar score in Model 3. Consistent with our theoretical prediction, the coefficient for the environmental pillar score is positive and statistically significant ($\beta = 0.007$, $p < 0.05$). This finding provides direct support for Hypothesis 1. It suggests that firms making substantive investments in environmental initiatives—such as emission reductions and green innovation—are significantly more likely to engage in discretionary earnings management. To gauge the economic magnitude of this effect, we compare the coefficient to the sample distribution. A one-standard-deviation increase in the environmental score (approx. 24.5 points) is associated with an increase in asset scaled discretionary accruals of roughly 3.7% relative to the sample mean. While this percentage appears modest, applied to the average firm's total assets in our sample, it represents a substantial dollar value of managed earnings, indicating that the moral licensing effect has meaningful implications for financial reporting quality.

To further validate that our results are driven by the specific psychological mechanism of moral licensing—which requires a sense of "moral sacrifice"—we examine the social pillar score in Model 5&6. The coefficient for the social score is statistically insignificant ($\beta = 0.001$, $p > 0.50$). We interpret this null result through the lens of instrumental stakeholder logic rather than reputation building. Unlike environmental initiatives, which often involve costly capital expenditures with diffuse societal benefits (and thus are easily framed as a "sacrifice" for the greater good), social initiatives—such as workforce training, health and safety improvements, or diversity programs—are frequently rationalized by managers as strategic investments with expected reciprocal returns. Under this instrumental logic, better treatment of employees and suppliers is viewed as a transaction: the firm invests resources to extract higher productivity, retention, or supply chain resilience (e.g., DesJardine et al., 2025).When doing good is framed as a quid pro quo exchange for economic returns, it fails to generate the moral surplus or credits required to trigger the licensing effect. If managers perceive that they have already been paid back for their social efforts through operational benefits, they do not feel the psychological entitlement to pay themselves back through earnings

management. The sharp contrast between the significant effect of the environmental score (sacrifice-based licensing) and the null effect of the social score (instrumental-based exchange) thus provides critical discriminant validity for our theoretical framework.

In Model 2, we introduce the interaction between the ES composite score and industry culpability. This specification reveals a critical "suppression effect" that was hidden in the baseline model. While the main effect of the composite score was insignificant in Model 1, it becomes positive and statistically significant ($\beta = 0.004$, $p < 0.10$) in Model 2 once the interaction term is included. Simultaneously, the interaction coefficient is negative ($\beta = -0.006$, $p < 0.10$). This pattern suggests that the relationship between aggregate E&S engagements and earnings management is not non-existent, but rather conditional. For firms in "non-culpable industries, higher E&S scores are indeed associated with increased earnings management. However, this relationship is suppressed in full sample by the sin industries..

Model 4 presents the test of our primary moderator hypothesis (H2) using the environmental pillar score. The results provide robust support for H2. The coefficient for the interaction term is negative and statistically significant ($\beta = -0.011$, $p < 0.05$). The economic magnitude of this attenuation is substantial. For non-culpable firms (the main effect), the coefficient is positive ($\beta = 0.009$, $p < 0.05$), indicating a strong licensing effect. However, for culpable firms, the linear combination of the main effect and the interaction term effectively reduces the slope to near zero. This confirms that the commitment framing inherent to stigmatized industries completely neutralize the psychological license to manage earnings. Managers in these industries appear to internalize their environmental efforts as necessary compliance rather than voluntary good deeds that yield tradable moral credits.

Finally, Model 6 tests the interaction using the social pillar score. Consistent with the null main effect found in Model 5, both the main term ($\beta = 0.002$, n.s.) and the interaction term ($\beta = -0.010$, n.s.) are statistically insignificant. This non-finding is theoretically vital. It demonstrates that the licensing is specific to the domain of substantive environmental engagement. Since social engagement is often driven by instrumental logic (expected reciprocal returns from stakeholders) rather than moral sacrifice, it generates neither the "credits" for licensing in clean industries nor the "commitment pressure" in culpable industries.

The lack of significant interaction in Model 6 confirms that our findings in Models 2 and 4 are not driven by generic industry differences or mechanical correlation, but by the unique psychological accounting associated with resource-intensive environmental efforts.

SUPPLEMENTAL ANALYSES

A fundamental challenge to causal inference in our context is selection bias arising from covariate imbalance. Firms that achieve high levels of substantive environmental engagement are systematically different from those that do not. For instance, they typically possess greater organizational slack, higher operational complexity, and distinct governance profiles. These characteristics are strong predictors of earnings management behavior (Dechow et al., 2010). In standard OLS regressions, if the distributions of these covariates differ significantly between high- and low-ESG firms, the model relies on linear extrapolation, creating "model dependence" that can bias estimates (Ho et al., 2007).

To rigorously address this endogeneity concern, we employ entropy balancing, a generalization of propensity score matching that offers superior properties for causal identification (Hainmueller, 2012). Unlike standard matching methods which often discard data or only balance the means of covariates, entropy balancing retains the full information of the control sample while reweighting observations to ensure that the entire covariate distribution of the control group matches that of the treatment group. This procedure effectively constructs a counterfactual control group that is statistically identical to the treatment group across all observable dimensions—such as size, performance, leverage, and growth—except for their level of environmental engagement. By eliminating the imbalance in firm characteristics, we minimize the risk that our results are driven by structural firm differences rather than the psychological mechanism of moral licensing. Table 3 presents the regression results using the entropy-balanced sample. The results provide strong corroboration for our baseline findings. In Model 3, the coefficient for the environmental pillar score remains positive and statistically significant ($\beta = 0.008$, $p < 0.05$), with a magnitude comparable to the OLS estimates. Furthermore, in Model 4, the interaction term remains negative and significant ($\beta = -0.012$, $p < 0.10$).

We next address the potential for reverse causality. A competing theoretical perspective, often termed the "insurance hypothesis," suggests that managers may strategically invest in ESG activities after or while engaging in earnings management to create a moral capital buffer that protects them from penalties if the manipulation is detected (Li et al., 2021). If this motive drives the relationship, we would expect high levels of earnings management to precede increases in ESG scores. To test this possibility, we employ a lead-lag design where we regress the current environmental pillar score on lagged discretionary accruals, along with all control variables. The results are reported in Table 4. The coefficient for lagged earnings management is negative and statistically insignificant ($\beta = -0.016$, $p > 0.10$). This null result is critical for our causal inference. It indicates that past financial manipulation does not predict future environmental engagement, effectively ruling out the insurance hypothesis. This supports our theoretical directionality: substantive environmental engagement functions as an antecedent that enables subsequent earnings management, rather than a consequence of it.

Finally, we conduct a series of sensitivity tests to ensure our results are robust to alternative model specifications and measurement choices. First, to account for unobserved time-varying local shocks—such as changes in state-level regulations, local economic downturns, or natural disasters that might simultaneously affect a firm's environmental investment and its financial reporting incentives—we re-estimate our baseline models including state-year fixed effects (Park et al., 2024). As shown in Model 3 of Table 5, our results remain qualitatively unchanged: the environmental score is positively associated with earnings management ($\beta = 0.009$, $p < 0.05$), and the interaction with industry culpability remains negative.

Second, we assess the sensitivity of our dependent variable. In our main analysis, we calculated discretionary accruals using the modified jones model matched on 2-digit SIC codes. To ensure our results are not driven by the granularity of industry classification, we re-calculate discretionary accruals using the Fama-French 48 industry classification. The results, reported in Model 4 of Table 6, are robust to this alternative measurement ($\beta = 0.009$, $p < 0.05$).

Insert Table 3-6 here

Collectively, these robustness checks provide confidence that the observed moral licensing effect is a stable and causal phenomenon.

DISCUSSION AND SUMMARY

In our study, we offered an alternative perspective, the moral licensing perspective (Merritt et al., 2010; Monin & Miller, 2001), to explain how firm response to tensions from various stakeholders (Kim & Lyon, 2015; Wang et al., 2021). Using a sample of U.S. Public firms from 2000 to 2022, we find that firms engaged in environmental initiatives are more likely to manage reported earnings through discretionary accruals. Furthermore, we the license is constrained by the legitimacy deficits of "sin" industries and the instrumental nature of social initiatives.

This study contributes to several fields of research. First, by shedding light on firms' manipulative behaviors for appeasing shareholders, we extend the scope of the inquiry on how firms navigate the complex tension between shareholders and other stakeholders. Similar to prior symbolic management strategies (Lyon & Montgomery, 2015; Westphal & Zajac, 1998) shaping the image in other stakeholders' perception, our findings suggest firms may prioritize non-shareholder stakeholders' (e.g., employee, environmental activists) demands in current environment (Aguilera et al., 2007) and therefore leveraging symbolic management tools to manage the pressure from shareholders.

Second, our study incorporates moral licensing theory from psychology (Merritt et al., 2010) into management research. Prior to our research, the moral licensing theory has been adopted by multiple social studies including political science, marketing, social studies (Batson et al., 1999; Blanken, Van De Ven, & Zeelenberg, 2015; Khan & Dhar, 2006). As in our research, this theory provided us with a novel angle to interpret organizational behaviors associated with social responsibility and moral decisions (Jones, 1991). In addition to expanding our knowledge on firms' moral elements and mechanisms, the incorporation of moral licensing theory challenges the assumption that firms' behaviors are mostly consistent. According to

our research, not all situations offer a win-win solution for firms. It is a crucial capability for firms to navigate inherent tensions between various stakeholder groups (Van der Byl & Slawinski, 2015).

Third, we reconcile our findings with the dominant "moral consistency" perspective (e.g., Ni, 2020) by delineating the boundary between instrumental exchange and moral sacrifice (Jones, 1995; Bénabou & Tirole, 2010). While prior research argues that ethical culture constrains misconduct, we posit that this applies primarily to governance-based or social actions framed as "instrumental transactions" with expected reciprocal returns. By isolating substantive environmental engagement—a domain characterized by significant capital outflows and delayed reciprocity—we reveal that moral licensing is triggered specifically by "making a sacrifice" rather than merely "following rules." Our discriminant findings between environmental (significant) and social (null) scores validate this theoretical nuance: whereas instrumental social exchanges enforce consistency, costly environmental commitments generate the specific moral credits that license financial reporting discretion.

Our study is not without limitations, which point to fruitful avenues for future inquiry. First, our empirical evidence is confined to discretionary accruals—a form of earnings management often characterized as a "victimless crime" or a "white lie" of financial reporting. In untabulated analyses, we found no significant relationship between environmental engagement and real earnings management (REM) (Roychowdhury, 2006), such as cutting R&D or advertising expenditures. While this null result theoretically reinforces the notion that moral licensing facilitates symbolic rather than value-destroying manipulation, it also limits the generalizability of our findings. Future research should investigate the hierarchy of unethical behaviors to determine where the psychological license "runs out." Specifically, does licensing extend to other domains of misconduct, such as tax avoidance or option backdating.

Second, while we employ entropy balancing to rigorously address selection on observables and bias, we do not utilize an instrumental variable (IV) approach to address potential selection on unobservables. In the multifaceted domain of ESG strategy, identifying an instrument that satisfies the strict exclusion restriction—affecting environmental engagement without directly influencing financial reporting incentives—is notoriously difficult (Bertomeu et al., 2021). Although our lead-lag tests effectively rule out

reverse causality, our reliance on observational matching means we cannot claim causality with the same certainty as a natural experiment. Future scholarship could exploit exogenous regulatory shocks to environmental disclosure standards to provide cleaner causal identification of the licensing effect.

Third, as with all archival research on the micro-foundations of strategy, we indirectly infer the psychological mechanism from firm-level outcomes. We rely on established social psychological theory (Merritt et al., 2010) to argue that substantive environmental engagement generates "moral credits" while industry culpability shifts the framing to "commitment." However, we cannot directly observe the cognitive processes or the specific "mental accounting" of individual managers. We assume that the collective strategic decisions of the firm reflect the psychological state of its upper echelons, but this link remains a "black box." Future research could complement our archival findings with experimental designs or survey-based field studies to directly measure how executives cognitively frame their ESG efforts—as distinct "credits" to be spent or as binding "commitments" to be upheld.

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Table 1

Statistical Summary and Correlat ion Matrix

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)	(18)
(1) Discretionary Accruals	1.000																	
(2) ES Composite Score	0.002	1.000																
(3) Env Score	-0.001	0.949***	1.000															
(4) Soc Score	0.006	0.914***	0.739***	1.000														
(5) Industry culpability	0.012	0.103***	0.120***	0.066***	1.000													
(6) Firm Size	-0.037***	0.564***	0.572***	0.468***	0.206***	1.000												
(7) Market-to-Book	0.004	0.050***	0.035***	0.062***	-0.036***	-0.010	1.000											
(8) Debt Ratio	0.002	0.114***	0.118***	0.092***	0.045***	0.242***	-0.046***	1.000										
(9) ROA	0.072***	0.096***	0.092***	0.087***	0.012	0.096***	0.074***	-0.128***	1.000									
(10) Asset Growth	0.027***	-0.057***	-0.073***	-0.026***	-0.020**	-0.020**	0.056***	0.000	0.135***	1.000								
(11) Cash Holdings	-0.031***	-0.125***	-0.168***	-0.050***	-0.109***	-0.321***	0.100***	-0.285***	-0.006	0.098***	1.000							
(12) Institutional Ownership	0.014	-0.107***	-0.133***	-0.057***	-0.089***	-0.187***	-0.002	0.056***	0.010	0.040***	0.014	1.000						
(13) Big 4 Auditor	0.004	0.221***	0.214***	0.197***	0.046***	0.337***	0.004	0.139***	0.054***	-0.053***	-0.096***	0.052***	1.000					
(14) Firm Age	0.031***	0.234***	0.257***	0.169***	0.161***	0.299***	-0.032***	-0.049***	0.089***	-0.104***	-0.230***	-0.188***	0.083***	1.000				
(15) CEO Age	0.037***	0.002	0.007	-0.006	0.030***	0.022**	-0.029***	-0.006	0.035***	-0.031***	-0.046***	-0.060***	-0.065***	0.080***	1.000			
(16) CEO Gender	-0.016*	-0.055***	-0.047***	-0.056***	-0.023**	0.004	-0.022**	-0.005	-0.011	0.002	-0.005	-0.015	-0.010	-0.007	0.034***	1.000		
(17) CEO Duality	0.003	0.054***	0.064***	0.034***	0.095***	0.144***	-0.012	-0.008	0.040***	-0.017*	-0.093***	-0.126***	0.028***	0.168***	0.273***	0.054***	1.000	
(18) Board Independence	0.021**	0.012	-0.006	0.033***	-0.069***	-0.110***	0.033***	-0.033***	-0.004	0.035***	0.095***	0.148***	-0.026***	-0.037***	-0.058***	0.005	0.024**	1.000
Mean	0.001	0.804	0.335	0.468	0.124	8.287	4.164	0.286	0.049	0.111	0.148	0.81	0.916	36.731	56.998	0.944	0.407	0.939
SD	0.052	0.47	0.284	0.219	0.329	1.512	10.158	0.204	0.107	0.302	0.156	0.212	0.278	16.879	6.749	0.229	0.491	0.1

N=10427 * p<0.05

Table 2 Effect of E&S Engagement on Discretionary Accruals

IV	ES Score		Env Score		Soc Score	
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6
Firm Size	-0.0020	-0.0021	-0.0018	-0.0021	-0.0022	-0.0019
	(0.0027)	(0.0027)	(0.0027)	(0.0027)	(0.0027)	(0.0027)
Debt Ratio	0.0000	0.0000	0.0000	0.0000	0.0000	0.0000
	(0.0001)	(0.0001)	(0.0001)	(0.0001)	(0.0001)	(0.0001)
Cash Ratio	0.0238***	0.0237***	0.0239***	0.0240***	0.0239***	0.0240***
	(0.0072)	(0.0072)	(0.0071)	(0.0072)	(0.0072)	(0.0072)
ROA	0.0445***	0.0446***	0.0447***	0.0446***	0.0446***	0.0447***
	(0.0120)	(0.0120)	(0.0120)	(0.0120)	(0.0120)	(0.0120)
Growth	0.0057	0.0058	0.0057	0.0057	0.0058	0.0056
	(0.0047)	(0.0047)	(0.0047)	(0.0047)	(0.0047)	(0.0047)
Cash Holdings	-0.0733***	-0.0734***	-0.0732***	-0.0732***	-0.0733***	-0.0731***
	(0.0133)	(0.0133)	(0.0133)	(0.0133)	(0.0133)	(0.0133)
Inst. Ownership	0.0035	0.0037	0.0034	0.0037	0.0038	0.0034
	(0.0054)	(0.0054)	(0.0054)	(0.0054)	(0.0054)	(0.0054)
Big 4 Auditor	0.0075	0.0074	0.0075	0.0074	0.0073	0.0074
	(0.0071)	(0.0071)	(0.0071)	(0.0071)	(0.0071)	(0.0071)
Firm Age	-0.0003	-0.0003	-0.0003	-0.0003	-0.0003	-0.0002
	(0.0002)	(0.0002)	(0.0002)	(0.0002)	(0.0002)	(0.0002)
CEO Age	0.0001	0.0001	0.0001	0.0001	0.0001	0.0001
	(0.0001)	(0.0001)	(0.0001)	(0.0001)	(0.0001)	(0.0001)
CEO Gender	-0.0005	-0.0005	-0.0006	-0.0005	-0.0005	-0.0006
	(0.0026)	(0.0026)	(0.0026)	(0.0026)	(0.0026)	(0.0026)
CEO Duality	-0.0010	-0.0010	-0.0010	-0.0009	-0.0009	-0.0010
	(0.0018)	(0.0018)	(0.0018)	(0.0018)	(0.0018)	(0.0018)
Board Independence	0.0159	0.0158	0.0162	0.0163	0.0164	0.0164
	(0.0119)	(0.0119)	(0.0118)	(0.0119)	(0.0119)	(0.0119)
Board Size	0.0004	0.0004	0.0004	0.0004	0.0004	0.0004
	(0.0005)	(0.0005)	(0.0005)	(0.0005)	(0.0005)	(0.0005)
Ind. Culpability	0.0003	0.0003	0.0004	0.0058	0.0047	0.0054
	(0.0021)	(0.0021)	(0.0021)	(0.0040)	(0.0033)	(0.0047)
ES Score	0.0034	0.0044*				
	(0.0022)	(0.0023)				
ES Score #		-0.0059				
Ind. Culpability		(0.0037)				
Env Score			0.0074**	0.0091**		
			(0.0035)	(0.0036)		
Env Score #				-0.0106*		
Ind. Culpability				(0.0058)		
Soc Score					0.0019	0.0031
					(0.0046)	(0.0048)
Soc Score #						-0.0097
Ind. Culpability						(0.0082)
Constant	-0.0045	-0.0042	-0.0042	-0.0063	-0.0049	-0.0063
	(0.0289)	(0.0289)	(0.0289)	(0.0289)	(0.0289)	(0.0290)
Adj. R-square	0.1171	0.1172	0.1169	0.1172	0.1174	0.1169
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	10472	10472	10472	10472	10472	10472

Note: p-values in parentheses (* 0.10 ** 0.05 *** 0.01)
Standard errors in parentheses
Robust standard errors clustered at firm level.

Table 3 Effect of E&S Engagement on DA: Entropy Balance Matched Sample

DV: Discretionary Accrual	IV: ES Score Model 1	IV: ES Score Model 2	IV: Env Score Model 3	IV: Env Score Accrual	IV: Soc Score Model 1	IV: Soc Score Model 2
Firm Size	-0.0020	-0.0021	-0.0018	-0.0021	-0.0022	-0.0019
	(0.0027)	(0.0027)	(0.0027)	(0.0027)	(0.0027)	(0.0027)
ES Score	0.0034	0.0044*				
	(0.0024)	(0.0026)				
ES Score # Ind. Culpability		-0.0065*				
		(0.0038)				
Env Score			0.0079**	0.0099**		
			(0.0040)	(0.0042)		
Env Score # Ind. Culpability				-0.0117*		
				(0.0062)		
Soc Score					0.0010	0.0024
					(0.0049)	(0.0051)
Soc Score # Ind. Culpability						-0.0102
						(0.0083)
Constant	-0.0045	-0.0042	-0.0042	-0.0063	-0.0049	-0.0063
	(0.0289)	(0.0289)	(0.0289)	(0.0289)	(0.0289)	(0.0290)
Adj. R-square	0.1171	0.1172	0.1169	0.1172	0.1174	0.1169
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	10472	10472	10472	10472	10472	10472

Note: p-values in parentheses (* 0.10 ** 0.05 *** 0.01)
Standard errors in parentheses
Robust standard errors clustered at firm level.

Table 4 Testing Reverse Causality

DV: Env Score (t+1)	IV: DA Model 3	IV: DA Model 4
DA	-0.0161	-0.0128
	(0.0199)	(0.0209)
DA # Ind. Culpability		-0.0309
		(0.0854)
Adj. R-square	0.8087	0.8089
Year FE	Yes	Yes
Firm FE	Yes	Yes
Observations	10284	10284

Note: p-values in parentheses (* 0.10 ** 0.05 *** 0.01)
Standard errors in parentheses
Robust standard errors clustered at firm level.

Table 5 Alternative Specification

DV: Discretionary	IV: ES Score		IV: Env Score		IV: Soc Score	
Accrual	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6
ES Score	0.0041	0.0051*				
	(0.0027)	(0.0029)				
ES Score #		-0.0061				
Ind. Culpability		(0.0039)				
Env Score			0.0090**	0.0107**		
			(0.0044)	(0.0046)		
Env Score #				-0.0105*		
Ind. Culpability				(0.0063)		
Soc Score					0.0021	0.0034
					(0.0055)	(0.0057)
Soc Score #						-0.0103
Ind. Culpability						(0.0085)
Adj. R-square	10315	10315	10315	10315	10315	10315
Year x State FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	0.1130	0.1131	0.1128	0.1130	0.1132	0.1128

Note: p-values in parentheses (* 0.10 ** 0.05 *** 0.01)
Standard errors in parentheses
Robust standard errors clustered at firm level.

Table 6 Alternative DV using FF-48 Industry Classification

DV: Discretionary	IV: ES Score		IV: Env Score		IV: Soc Score	
Accrual	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6
Firm Size	-0.0020	-0.0021	-0.0018	-0.0021	-0.0022	-0.0019
	(0.0027)	(0.0027)	(0.0027)	(0.0027)	(0.0027)	(0.0027)
ES Score	0.0020	0.0035				
	(0.0028)	(0.0029)				
ES Score #		-0.0098**				
Ind. Culpability		(0.0043)				
Env Score			0.0062	0.0091**		
			(0.0044)	(0.0046)		
Env Score #				-0.0183***		
Ind. Culpability				(0.0070)		
Soc Score					-0.0016	0.0002
					(0.0060)	(0.0062)
Soc Score #						-0.0148
Ind. Culpability						(0.0094)
Adj. R-square	0.1196	0.1197	0.1196	0.1198	0.1200	0.1196
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	10472	10472	10472	10472	10472	10472

Note: p-values in parentheses (* 0.10 ** 0.05 *** 0.01)
Standard errors in parentheses
Robust standard errors clustered at firm level.

Appendix A Measuring Discretionary Accruals

Discretionary accrual is measure as the difference between total accruals and estimated nondiscretionary accruals (Dechow et al., 1995; Larson et al., 2018). Non-discretionary accruals are estimated using a modified Jones model. The following cross-sectional model is run by year and two-digit SIC code:

$$ACC = \alpha + \beta_1(\Delta Rev) + \beta_2 PPE + \epsilon,$$

where: ACC = total accruals; Δ Rev = current sales revenue less prior year's sales revenue, scaled by prior year's total assets; PEE=gross property, plant, and equipment, scaled by prior year's total assets

The estimated coefficients from this regression are then used to compute nondiscretionary accruals for each firm as follows:

$$NDACC = \alpha + \widehat{\beta_1}(\Delta Rev - \Delta AR) + \widehat{\beta_2} PPE,$$

where: Δ AR = accounts receivable less prior year's accounts receivable, scaled by prior year's total assets.